



JAYANT SINHA
Former Minister of State for Finance

part of that, of course, is that people are far more comfortable with leverage now. But with the way technology is evolving now, it's far easier for people to track bad credit. So, I don't really see a big NPL problem kind of coming up. Of course, we will all be swayed by what's happening in the global economy.

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From an international perspective, is there a shaky pyramid that has built up due to very aggressive lending?

Chadha: I think India

is standing at an extremely sweet spot. And it's not just versus other emerging markets, but relative to the developed world, whether you're talking about the US, Europe, or even China. I think India has a very good balance between growth, quality, and profitability. I remember, a decade ago, building inclusive banking was an obligation for banks. Today, that is an opportunity for banks and NBFCs. And I think it does great credit to the policymakers and regulators as to how they have built this ecosystem.



SUBHASH CHANDRA GARG
Former Economic Affairs Secretary and Finance Secretary

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On technology and ease of access, is there a flip side to it? And is the system, including the institutions and the regulator, behind the curve?

Garg: I think this is a very important issue. I remember from 2017 to 2019, the banking sector was in a very poor state. NPAs were very large, banks were out of capital, PSBs especially, and things were very difficult. With a lot of capitalisation, also the economy turning around in the sectors where most of the NPAs were there—steel,

power, and others—a lot of change has taken place, which has helped the banking system to turn things around. That change, which has occurred over the last five to seven years, has helped transform not only the banking of the unbanked but also profitability. But I must highlight one important change. There is a very big change in the portfolio of banks. Earlier, about 40-45% of bank loans were for industry. Today, it is less than 25%. And most of the NPAs were also in the industrial side, not on the personal side. So, the